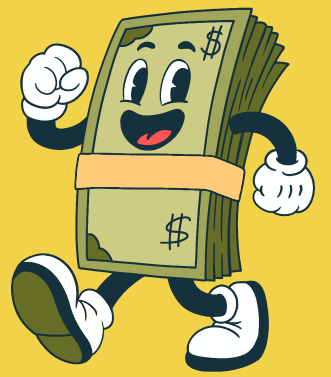


HOW TO READ YOUR AWARD LETTER



\$3,200

The Pell Grant offers **free** money, meaning you won't have to pay it back, making college more affordable for many first-generation students.

Subsidized = no interest while you are in school.
Unsubsidized = interest starts day one.

Financial literacy is crucial for navigating college costs. Understanding the differences between **free**, **borrowed**, and **earned** funds helps students manage their finances effectively and plan for their future without overwhelming debt.

\$2,500

State Grant: **free** financial aid

\$2,000

Federal Direct Unsubsidized Loan: **borrowed** funds

\$3,500

Federal Direct Subsidized Loan: **borrowed** funds

\$2,400

Federal Work-Study: **earned** income



The gap formula: cost of attendance minus all aid = what you cover. Scam red flags: pay-to-apply scholarships, paid FAFSA help, and urgent calls asking for your SSN. Real aid offices never demand payment or personal information by phone. Hang up.